

buy a stock you no longer have to call up a broker and hear them pressure you into investing in the next hot thing. Thanks to recent technology, investing in a company or fund is as simple as going to an online store and buying a top. But rather than clicking on a Nike shirt, you click on the Nike company and take it to the checkout. And just like that, you become an investor.

Investing may not be complicated, but the jargon is ...

There's no doubt the jargon is a huge barrier to entry. It's almost like another language. There are so many unnecessary words that prevent us from learning about investing on our own.

For example, if the prices of stocks are collectively rising, investors will say 'there's a bull market'. Or if stock prices are falling, they'll say there's a 'bear market'. Instead of saying 'What companies make up the bulk of your investments?' they ask 'What positions are you primarily holding?' As mentioned earlier in this chapter, 'margin investing' is when people invest in stocks with borrowed money.

Or my favourite, rather than saying Apple's stock price has gone down by 0.5 per cent, they'll say 'Apple dropped 50 points'.

'What on earth does 50 points mean?' was the first thing that came to my mind when I was learning how to invest. I thought it would make sense to break it down for you too.

The points system is a way for investors to understand how a stock is performing: is it going up or down in value? 100 base points is equal to one per cent, so if Google moves up 100 points, it just means the Google stock is up by 1 per cent. Or if Meta moved down 500 points, it's down 5 per cent. Rather than speaking about the movement of a company in points, percentages are much more intuitive. 'But that would mean people can understand investing, we don't want that!' said some financial rule maker, at some point in history. I assume.

You may be thinking, 'Alright, so it's not difficult to grasp investing concepts, but what about the maths?'

Luckily for us times have changed and the calculations needed for investing are becoming easier and easier to find online. Investing education websites